

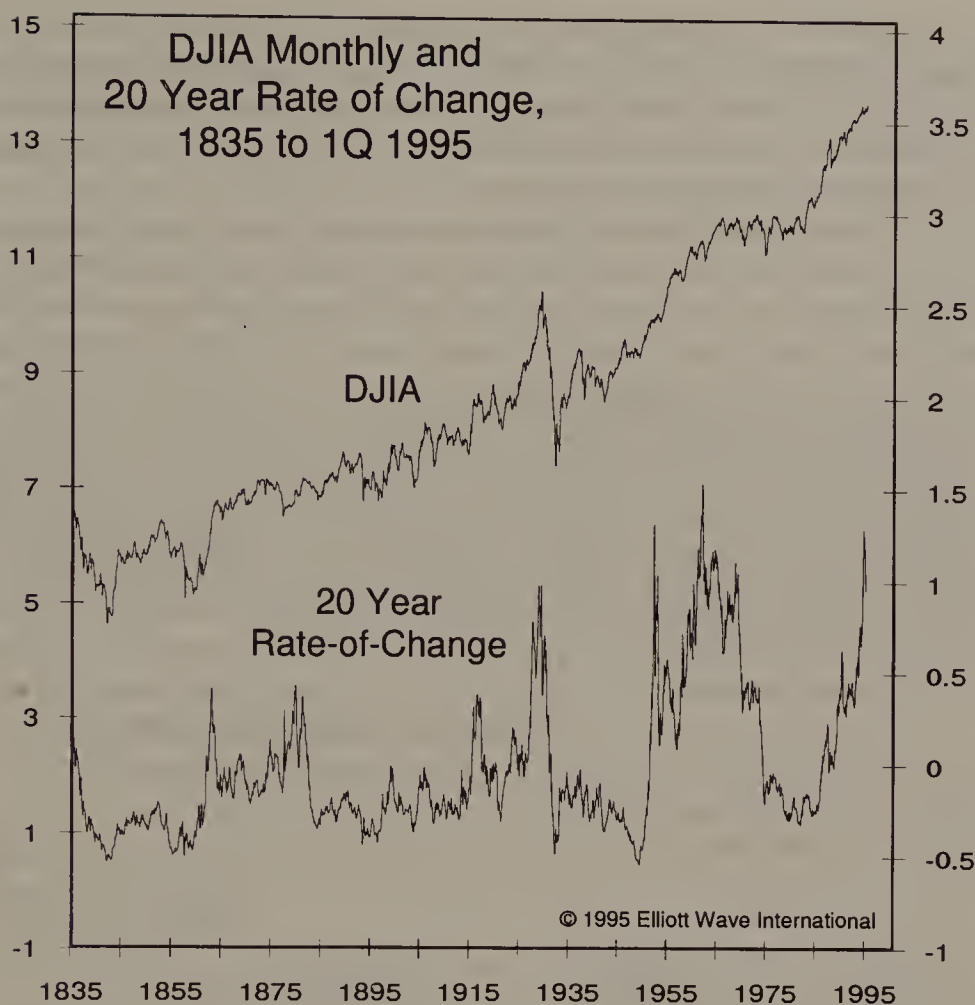


Figure 9-2

Types of Overbought Conditions

An overbought condition by itself is no proof of a top. The stock market most often reaches its peak short term rate of change and breadth in the third wave, i.e., the volatile center of an impulse, and sometimes reaches it in the first wave. The difference between a peak-of-market overbought condition on the one hand and an early or mid-trend overbought condition on the other is subtle, but crucial to a correct interpretation of the indicators. Rates of change that measure the appropriate durations will always show one or more *lower peaks* by the time the top in market prices arrives. When the stock market is overbought in mid-trend, all or most rates of change concurrently register *new highs*. With a knowledge of the difference, *The Elliott Wave Theorist* correctly identified the bullish implication